passage of the Bill and he telegrammed stating that on no account should the non-official members of the Central Legislature be allowed to become ex-officio members of Electoral Boards as it was ‘counter to the principle of free from political pressure Reserve Bank Directorate.’[20]

Blackett’s handling of the Bill had convinced Birkenhead that he (Blackett) desired to secure legislation in his time regardless of British interests. Balachandran observes that the India Office’s opportunity to finally derail the RBI legislation came when Blackett in the course of informal talks with Indian politicians hinted that he was open to the idea of some nominees of the government and the Central Legislative Assembly on the Board of the bank. The India Office pounced on this chance and mobilized opinion against Blackett in particular and the idea of a speedy establishment of a bank in general. Even Norman thought that Blackett’s plan was a serious departure from the recommendations of the Hilton Young Commission. The India Office told the Viceroy to restrain his Finance Member who according to them had blotted his copybook badly and was now a laughing stock in London. Left with no choice, Birkenhead ordered withdrawal of the Bill, the idea being to put it in cold storage till Blackett left India.

Blackett, meanwhile, had become a favourite with the Indian members who praised his tenacious efforts to secure for India control of her credit and currency. His position in the Assembly had been hopelessly compromised but he was persuaded not to resign, a fact which Birkenhead noted with some satisfaction since ‘he has already the halo of a confessor and he can hardly expect to be allowed to add that of a martyr.’[21] Thus, the supremacy of Whitehall was indubitably asserted and the Bill was abandoned ostensibly on the ground that the Legislature refused to accept provisions which would protect the bank from political influences.

Balachandran notes that the soured relations of the India Office with the Indian government turned the thoughts of policy makers in London towards alternative means of exercising control over Indian policies, and it was then that the idea of a central bank began to come to the forefront again. But the events of the 1920s, while giving fresh impetus to the idea, were also to alter the perspective in which London viewed it. ‘Now the Indian central bank was only secondarily an instrument helping to deepen the financial sector of her economy. Primarily, it was aimed at preserving London’s